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COMMISSION OPINION

of 17.2.2026

on the Draft Budgetary Plan of Belgium

(Only the Dutch and French texts are authentic)

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GENERAL CONSIDERATIONS

(1) Regulation (EU) No 473/2013 of the European Parliament and of the Council of 21 May 2013 on common provisions for monitoring and assessing draft budgetary plans and ensuring the correction of excessive deficit of the Member States in the euro area[1] lays down provisions for enhanced monitoring of budgetary policies in the euro-area, to ensure that national budgets are consistent with the Stability and Growth Pact and the fiscal policy guidance issued in the context of the EU economic governance framework.

(2) Article 6 of Regulation (EU) No 473/2013 requires euro-area Member States to submit a Draft Budgetary Plan to the Commission and to the Eurogroup, by 15 October each year, setting out the main budgetary objectives and projections for the forthcoming year, and outlining the main aspects underlying the budgetary outlook for the general government and its subsectors.

(3) On 30 April 2024, the reformed economic governance framework entered into force[2]. The main objectives of the framework are to promote sound and sustainable public finances, sustainable and inclusive growth and resilience through reforms and investments. The framework helps to make the EU more competitive and better prepared for future challenges by supporting progress towards a green, digital, inclusive, and resilient economy.

(4) In the context of the Union fiscal framework, and to increase transparency, a single operational indicator, anchored in debt sustainability, serves as a basis for setting the fiscal path and for carrying out annual fiscal surveillance for each Member State. That single operational indicator is the nominal growth rate of net expenditure[3].

[1] OJ L 140, 27.5.2013, pp. 11–23, ELI: http://data.europa.eu/eli/reg/2013/473/oj.

[2] Regulation (EU) 2024/1263 of the European Parliament and of the Council of 29 April 2024 on the effective coordination of economic policies and on multilateral budgetary surveillance and repealing Council Regulation (EC) No 1466/97 (OJ L, 2024/1263, 30.4.2024, ELI: http://data.europa.eu/eli/reg/2024/1263/oj), Council Regulation (EC) No 1467/97 of 7 July 1997 on speeding up and clarifying the implementation of the excessive deficit procedure (OJ L, 209, 2.8.1997, ELI: http://data.europa.eu/eli/reg/1997/1467/2024-04-30) and Council Directive 2011/85/EU of 8 November 2011 on requirements for budgetary frameworks of the Member States (OJ L, 306, 23.11.2011, ELI: http://data.europa.eu/eli/dir/2011/85/2024-04-30) are the core elements of the reformed EU economic governance framework.

[3] According to Article 2(2) of Regulation (EU) 2024/1263, 'net expenditure' means government expenditure net of interest expenditure, discretionary revenue measures, expenditure on programmes of the Union fully matched by revenue from Union funds, national expenditure on co-financing of programmes funded by the Union, cyclical elements of unemployment benefit expenditure, and one-offs and other temporary measures.

(5) On 2 October 2025, the Commission proposed amendments to Regulations (EU) No 473/2013 and No 1173/2011[4]. These proposed amendments aim to ensure consistency across all elements of the EU economic governance framework, while also simplifying it further, including by reducing the reporting requirements on euro-area Member States.

(6) Regulation (EU) 2021/241 of the European Parliament and of the Council of 12 February 2021 establishing the Recovery and Resilience Facility[5] (RRF) provides time-bound financial support for the implementation of reforms and investments, notably to promote the green and digital transitions. The RRF also aims to increase the resilience of the Union's energy system by reducing dependence on fossil fuels and diversifying energy supply at Union level ('REPowerEU objectives'). The RRF is strengthening the resilience and potential growth of Member States' economies, which contributes to job creation and sustainable public finances. Part of this support takes the form of non-repayable financial support ("grants"), entailing a fiscal impulse financed by the Union. Together with cohesion policy funds and the Just Transition Mechanism, the RRF is supporting a fair and inclusive recovery in the EU in line with the European Pillar of Social Rights. The RRF is a temporary instrument, lasting until end-2026. On 4 June 2025 the Commission adopted a Communication[6] with guidance to Member States on how to further streamline their Recovery and Resilience Plans, which options to consider when revising them, and how to plan ahead for the submission of the last payment requests in 2026.

(7) Russia's war of aggression against Ukraine and its repercussions constitute an existential challenge for the EU. The Commission recommended[7] to activate the national escape clause of the Stability and Growth Pact in a coordinated manner to support the EU's efforts to achieve a rapid and significant increase in defence spending. The European Council welcomed this proposal on 6 March 2025.

CONSIDERATIONS CONCERNING BELGIUM

(8) On 14 January 2026, Belgium submitted its Draft Budgetary Plan for 2026 to the Commission and the Eurogroup. The submission was delayed beyond the 15 October deadline because the federal government reached an agreement on its 2026 budget only on 25 November 2025. The Commission makes an overall assessment of the budgetary situation and adopts this opinion in accordance with Article 7 of Regulation (EU) No 473/2013, taking into account the Council Recommendation under Article 126(7) of the Treaty on the Functioning of the European Union (TFEU) with a view to bringing an end to the situation of an excessive deficit in Belgium[8],

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[4] Proposal for a Regulation of the European Parliament and of the Council amending Regulations (EU) No 1173/2011 and (EU) No 473/2013 as regards alignment with the EU economic governance framework and further simplification of that framework, Brussels, 2.10.2025, COM(2025) 591 final.

[5] Regulation (EU) 2021/241 of the European Parliament and of the Council of 12 February 2021 establishing the Recovery and Resilience Facility (OJ L 57, 18.2.2021, p. 17–75, ELI: http://data.europa.eu/eli/reg/2021/241/oj).

[6] Communication from the Commission to the European Parliament and the Council, NextGenerationEU - The road to 2026, Brussels, 4.6.2025, COM(2025) 310 final/2.

[7] Communication from the Commission 'Accommodating increased defence expenditure within the Stability and Growth Pact', Brussels, 19.3.2025, C(2025) 2000 final.

[8] Council Recommendation with a view to bringing an end to the situation of an excessive deficit in Belgium, adopted on 20 June 2025. Council Recommendation with a view to bringing an end to the situation of an excessive deficit in Belgium.

the Council Recommendation endorsing the national medium-term fiscal-structural plan[9] (hereinafter: "medium-term plan") of Belgium, the Council Recommendation allowing Belgium to deviate from the maximum growth rates of net expenditure as set by the Council under Regulation (EU) 2024/1263 (Activation of the national escape clause)[10] and the Council Recommendation on the economic, social, employment, structural and budgetary policies of Belgium[11]. This opinion is prepared on the basis of the Commission updated Autumn forecast[12], which takes into account the information contained in Belgium's Draft Budgetary Plan. The figures presented in this opinion may therefore in some cases differ from those reported in the Draft Budgetary Plan.

(9) On 26 July 2024, the Council established that an excessive deficit exists in Belgium due to non-compliance with the deficit criterion[13]. On 20 June 2025, the Council adopted a revised Recommendation under Article 126(7) TFEU with a view to bringing an end to the situation of an excessive deficit in Belgium by 2029. According to that Recommendation, Belgium should ensure that net expenditure growth does not exceed 3.6% in 2025, 2.5% in 2026, 2.5% in 2027, and 2.1% in 2028 and 2029. This corresponds to the maximum cumulative growth rates calculated with reference to 2024 of 3.6% in 2025, 6.1% in 2026, 8.8% in 2027, 11.1% in 2028 and 13.4% in 2029.

(10) On 20 June 2025, the Council also adopted a Recommendation endorsing the medium-term plan of Belgium. The Recommendation indicates that net expenditure growth should not exceed 3.6% in 2025, 2.5% in 2026, 2.5% in 2027, 2.1% in 2028 and 2029. This corresponds to the maximum cumulative growth rates calculated with reference to 2024 of 3.6% in 2025, 6.1% in 2026, 8.8% in 2027, 11.1% in 2028 and 13.4% in 2029. These are the same growth rates as those set out in the Council Recommendation of 20 June 2025, adopted under Article 126(7) TFEU. Moreover, Belgium was recommended by the Council when endorsing the medium-term plan to implement the set of reforms and investments that underpins the extension of the fiscal adjustment period to 7 years by the indicated deadlines.

(11) Following the request of Belgium, on 8 July 2025 the Council adopted a Recommendation allowing Belgium to deviate from the maximum growth rates of net expenditure (activation of the national escape clause). The Council Recommendation allows Belgium, during the period 2025-2028, to deviate from and exceed the maximum growth rates of net expenditure as set by the Council Recommendation C/2025/3698 to the extent that the net expenditure in excess of these maximum growth rates is not more than the increase in defence expenditure in percent of GDP since 2021 and provided that the deviation in excess of the

[9] Council Recommendation of 20 June 2025 endorsing the national medium-term fiscal-structural plan of Belgium (OJ C, C/2025/3698, 20.08.2025, ELI: http://data.europa.eu/eli/C/2025/3698/oj).

[10] Council Recommendation of 8 July 2025 allowing Belgium to deviate from the maximum growth rates of net expenditure as set by the Council under Regulation (EU) 2024/1263 (Activation of the national escape clause) (OJ C, C/2025/3960, 20.08.2025, ELI: http://data.europa.eu/eli/C/2025/3960/oj)

[11] Council Recommendation of 8 July 2025 on the economic, social, employment, structural and budgetary policies of Belgium (OJ C, C/2025/3975, 20.08.2025, ELI: http://data.europa.eu/eli/C/2025/3975/oj).

[12] In order to assess the Draft Budgetary Plan for 2026, the Commission updated its Autumn 2025 forecast with a cut-off date of 23 January 2026 to take into account the information in the Draft Budgetary Plan.

[13] Council Decision of 26 July 2024 on the existence of an excessive deficit in Belgium (OJ L, 2024/2125, 1.8.2024, ELI: Council Decision (EU) 2024/2125 of 26 July 2024 on the existence of an excessive deficit in Belgium).

maximum growth rates of net expenditure does not exceed 1.5% of GDP. When assessing the request, the Commission verified that the activation of the national escape clause does not endanger fiscal sustainability over the medium term. The flexibility allowed by the activation of the national escape clause will also be considered in the assessment of effective action under the excessive deficit procedure.

(12) On 8 July 2025 the Council recommended Belgium to take action in 2025 and 2026 to reinforce overall defence and security spending and readiness in line with the European Council conclusions of 6 March 2025. The Council also recommended Belgium to adhere to the maximum growth rates of net expenditure recommended by the Council on 20 June 2025 with a view to bringing an end to the situation of an excessive deficit, while making use of the allowance under the national escape clause for higher defence expenditure.

(13) According to the Draft Budgetary Plan, Belgium's real GDP is projected to grow by 1.1% in 2026 (1.2% in 2025), while Harmonised Index of Consumer Prices (HICP) inflation is forecast at 1.6% in 2026 (2.9% in 2025). According to the Commission forecast, Belgium's real GDP is projected to grow by 1.1% in 2026 (1.0% in 2025) while HICP inflation is forecast at 2.0% in 2026 (2.9% in 2025). The main differences between both sets of projections are justified by the fact that the macroeconomic forecast underpinning the Draft Budgetary Plan of Belgium is based on data published until 8 September 2025. The Commission forecast has a cut-off date of 23 January 2026 and therefore takes into account data revisions and new data published since the Autumn forecast. Overall, the macroeconomic scenario underpinning the budgetary projections in the Draft Budgetary Plan appears to be in line with the Commission forecast for 2025 and 2026. Belgium complies with the requirement of Article 4(4) of Regulation (EU) No 473/2013, since the Draft Budgetary Plan is based on an independently endorsed macroeconomic forecast.

(14) Based on the Commission's estimates, the fiscal stance[14] is projected to be contractionary by 0.9% of GDP in 2026, following a broadly neutral fiscal stance in 2025. The fiscal stance appropriately considers the impact on aggregate demand of expenditure financed by non-repayable support ("grants") from the RRF and other EU funds.

(15) According to the Draft Budgetary Plan, Belgium's general government deficit is projected to decrease to 4.9% of GDP in 2026 (5.2% in 2025), while the general government debt-to-GDP ratio is set to increase to 110.1% at the end of 2026 (107.3% at the end of 2025)[15]. In turn, according to the Commission forecast, Belgium's general government deficit is projected to decrease to 5.0% of GDP in 2026 (5.2% in 2025), while the general government debt-to-GDP ratio is set to increase to 109.9% at the end of 2026 (107.3% at the end of 2025). The projected 2026 decrease in the deficit compared to 2025 is driven by lower current

[14] The fiscal stance is measured as the change in general government primary expenditure, net of the incremental budgetary impact of discretionary revenue measures, excluding one-off and cyclical unemployment expenditure, but including expenditure financed by non-repayable support ("grants") from the RRF and other EU funds, relative to the medium-term (10-year) average potential GDP growth rate, expressed as a ratio to nominal GDP.

[15] In the EDP-related data reported by Belgium to Eurostat in October 2025, the planned government debt-to-GDP ratio was of 107.5% for 2025 (October 2025 EDP notification tables for Belgium: BE-2025-10.pdf).

expenditure, mainly in social benefits and subsidies. The small difference between both sets of projections in 2026 for the general government deficit stems from the 0.1 percentage points of GDP lower other capital transfers estimated in the Commission forecast, while for the projections of general government debt, the difference reflects the 0.2 percentage points of GDP lower stock flow adjustment estimated in the Commission forecast.

(16) Public expenditure financed by EU funds, including non-repayable support ("grants") from the RRF, is projected in the Commission forecast to remain stable at 0.3% of GDP in 2026 compared to 2025[16]. The Draft Budgetary Plan expects that expenditure amounting to 0.2% of GDP will be financed by RRF grants in 2026, compared with 0.2% of GDP in 2025. Expenditure financed by RRF grants enables high-quality investment and productivity-enhancing reforms without a direct impact on the general government balance and debt of Belgium. The Draft Budgetary Plan also expects that expenditure amounting to less than 0.1% of GDP will be supported by loans from the RRF in 2026, similar to 2025.

(17) According to the Commission forecast, nationally financed public investment is projected to increase to 3.2% of GDP in 2026 (from 3.0% of GDP in 2025).

(18) The Draft Budgetary Plan includes several discretionary fiscal policy measures. On the revenue side, these include an increase in the VAT rate for several products (sport and leisure, takeaway food, hotels and campsites), a gradual increase in the excise duty rate for natural gas, an increase of taxes on the financial sector, and the introduction of a capital gains tax. According to Commission estimates, the overall additional impact of the discretionary revenue measures decreases net expenditure (and the general government deficit) by 0.5% of GDP in 2026[17]. On the expenditure side, the measures include social benefit reforms and a reduction in subsidies to contain the growth rate of current spending.

(19) Belgium's government expenditure on defence[18] amounted to 0.9% of GDP in 2021. According to the Commission forecast, it is projected to amount to 1.4% of GDP in 2025 and 1.7% of GDP in 2026. This corresponds to a projected increase of 0.8 percentage points in 2026 compared to 2021.

(20) According to the Commission's forecast, Belgium's net expenditure is projected to increase by 3.8% in 2025, which is above the maximum growth rate of 3.6% recommended by the Council. This corresponds to a deviation of 0.1% of GDP in 2025, which falls within the flexibility provided by the national escape clause based on the current projections for defence spending[19]. For 2026, net expenditure is projected to increase by 1.9%, which is below the maximum growth rate of 2.5% recommended by the Council. In cumulative terms, i.e. compared to the base year of

[16] For the purposes of fiscal surveillance, these figures refer to government expenditures financed by RRF grants and other EU funds, which are recorded at the time when that expenditure reaches the national economy. The figures usually differ from those for the flow of disbursements from the EU budget to the Member States, which might lag or lead that expenditure.

[17] This estimate includes all discretionary revenue measures with an incremental fiscal impact in 2026, whether they are introduced in the 2026 draft budget or were introduced previously.

[18] Nationally-financed defence expenditure as defined in the Classification of the functions of government (COFOG) in the framework of the European System of National Accounts (ESA2010).

[19] According to point 3 of the Council Recommendation of 8 July 2025 activating the national escape clause, deviations from the maximum growth rates of net expenditure as set by the Council that are allowed under the national escape clause will not be recorded as debits in the control account of Belgium.

2024, Belgium's net expenditure is projected by the Commission to increase by 5.8% in 2026, which is below the maximum cumulative growth rate of 6.1% recommended by the Council.

(21) In conclusion, according to the Commission forecast, which takes into account the Draft Budgetary Plan, Belgium's net expenditure growth rate in 2026 in cumulative terms is within the maximum growth rate recommended by the Council. Overall, the Commission is of the opinion that the Draft Budgetary Plan of Belgium complies with the maximum growth of net expenditure in the Council Recommendation with a view to bringing an end to the situation of an excessive deficit. The assessment of the implementation of the relevant Council recommendations – including of the set of reforms and investments that underpins the extension of the fiscal adjustment period – will continue in the context of the European Semester Spring Package, which is expected to be adopted by the Commission at the beginning of June 2026.

Table 1: Key macroeconomic and fiscal figures

#	Variables		2024	2025		2026	
			Outturn	DBP	COM	DBP	COM
1	Real GDP	% change	1.1	1.2	1.0	1.1	1.1
2	HICP	% change	4.3	2.9	2.9	1.6	2.0
3	General government balance	% GDP	-4.4	-5.2	-5.2	-4.9	-5.0
4	Primary balance	% GDP	-2.1	-2.8	-2.8	-2.4	-2.5
5	General government gross debt	% GDP	103.9	107.3	107.3	110.1	109.9
6	Fiscal stance (*)	% GDP	-0.4	n.a.	0.2	n.a.	0.9

Notes:
(*) A negative (positive) sign indicates an excess (a shortfall) of net primary expenditure growth over medium-term potential GDP growth, corresponding to an expansionary (a contractionary) fiscal stance.
Source : Commission Forecast (COM) and Draft Budgetary Plan for 2026 (DBP)

Table 2: Net expenditure (outturn and forecast), annual and cumulated deviations relative to the Recommendation

	Variables		2024	2025	2026
			Outturn	COM	COM
1	Total expenditure	bn NAC	335.3	350.0	361.0
2	Interest expenditure	bn NAC	13.7	15.3	17.0
3	Cyclical unemployment expenditure	bn NAC	0.0	0.6	0.9
4	Expenditure funded by transfers from the EU	bn NAC	1.6	2.0	1.7
5	National co-financing of EU programmes	bn NAC	0.6	0.5	0.5
6	One-off expenditure (levels, excl. EU funded)	bn NAC	0.0	0.1	0.0
7=1-2-3-4-5-6	**Net nationally financed primary expenditure (before discretionary revenue measures, DRM)**	**bn NAC**	**319.4**	**331.4**	**340.9**
8	Change in net nationally financed primary expenditure (before DRM)	bn NAC		12.0	9.5
9	DRM (excl. one-off revenue, incremental impact)	bn NAC		-0.16	3.2
10=8-9	**Change in net nationally financed primary expenditure (after DRM)**	**bn NAC**		**12.2**	**6.3**
11	Outturn / forecast net expenditure growth	% change		3.8%	1.9%
12	Recommended net expenditure growth	% change		3.6%	2.5%
13=(11-12) x 7	Annual deviation	bn NAC		0.7	-2.0
14 (cumulated from 13)	Cumulated deviation*	bn NAC		0.7	-1.3
15=13/17	**Annual balance**	**% GDP**		**0.1**	**-0.3**
16=14/17	**Cumulated balance**	**% GDP**		**0.1**	**-0.2**
17	p.m. Nominal GDP	bn NAC	620.3	642.6	662.0

Notes:
(*) The cumulative net expenditure growth rates are calculated by reference to the base year 2024.
Source : Commission Forecast and Commission calculations

Table 3: Defence expenditure and the national escape clause

			2021	2022	2023	2024	2025	2026
1	Total defence expenditure	% GDP	0.9	1.0	0.9	1.3	1.4	1.7
2	*of which: gross fixed capital formation*	% GDP	0.1	0.1	0.1	0.3	0.4	0.5
3	Flexibility from increases in defence expenditure*	% GDP					0.5	0.8
4	**Cumulated balance after flexibility**	**% GDP**					**-0.4**	**-1.0**

Notes:
(*) The amount has a lower bound of 0 and an upper bound of 1.5 % of GDP.
Source : Commission Forecast and Commission calculations

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For the Commission
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